

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

NAGPUR

CONSOLIDATE AUDIT REPORT & FINANCIAL STATEMENTS

**FOR THE FINANCIAL YEAR 2021-22
FOR THE ASSESSMENT YEAR 2022-23**



Audited By:
RKAS & CO.
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of **Virtual Galaxy Infotech Pvt.Ltd.**(hereinafter referred to as "the Holding Company")and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") comprising of the Consolidated Balance Sheet as at 31st March, 2022, the Consolidated Statement of Profit and Loss, Consolidated Cash Flow Statement and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate financial statements and on the other financial information of the subsidiary, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India of the consolidated state of affairs of the Group, as at 31 March 2022, and their consolidated loss (including other comprehensive income), consolidated cash flows and the consolidated changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing specified under section 143(10) of the Act. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in paragraph 16 of the Other Matter section below, is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment and based on the consideration of the reports of the other auditors on separate financial statements and on the other financial information of the subsidiaries, were of most significance in our audit of



the financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information other than the Consolidated Financial Statements and Auditor's Report thereon

The Holding Company's Board of Directors are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The accompanying consolidated financial statements have been approved by the Holding Company's Board of Directors. The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Ind AS specified under section 133 of the Act. The respective Board of Directors/management of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to



continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Board of Directors of the companies included in the group are also responsible for overseeing the financial reporting process of the respective companies included in the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of



our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern; and

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities within the Group, to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit of financial statements of such entities included in the financial statements, of which we are the independent auditors. For the other entities included in the financial statements, which have been audited by the other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.
- We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
- From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

We did not audit the financial statements of **SIP Fund Private Limited and Virtual Galaxy Insurance Brokers Private Limited**, subsidiaries, whose financial statements / financial information reflects total assets of **Rs.1,75,20,631 and Rs.71,06,940** respectively as at 31st March, 2022, and total revenues of **Rs.50,42,779 and Rs. 19,98,374 respectively** as considered in the consolidated financial statements. These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the Management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, jointly controlled entities and associates, and our report in terms of sub-sections (3) and(11) of Section 143 of the Act, insofar as it relates to the



aforesaid subsidiaries, jointly controlled entities and associates, is based solely on the reports of the other auditors.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

As required by Section 143(3) of the Act, we report, to the extent applicable, that:

- (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated financial statements.
- (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated financial statements.
- (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- (e) On the basis of the written representations received from the directors of the Holding Company as on 31st March, 2022 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, associate companies and jointly controlled companies incorporated in India, none of the directors of the Group companies, its associate companies and jointly controlled companies incorporate in India is disqualified as on 31st March, 2022 from being appointed as a director in terms of Section 164 (2) of the Act.
- (f) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. There were no pending litigations which would impact the consolidated financial position of the Group, its associates and jointly controlled entities.
 - ii. The Group, its associates and jointly controlled entities did not have any material foreseeable losses on long-term contracts including derivative contracts.



- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, and its subsidiary companies, associate companies and jointly controlled companies incorporated in India.



Ashish Shahu

Partner

Membership No. 150960

For and on Behalf of

RKAS & CO

Chartered Accountants

FRN no. 135727W

Dated the

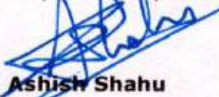
29th September 2022



Virtual Galaxy Infotech Private Limited
Consolidated Balance Sheet as on 31st March 2022

PARTICULARS		Note No.	(Fig in Rs.) 31st March 2022	(Fig in Rs.) 31st March 2021
I.	<u>EQUITY AND LIABILITIES :</u>			
1	SHAREHOLDERS' FUNDS			
	Share Capital	2.01	11,00,01,600	11,00,01,600
	Reserves and surplus	2.02	10,06,32,175	9,04,58,430
	Share Premium		97,66,680	97,66,680
	Sub-total		22,04,00,455	21,02,26,710
	Minority Interest		23,50,002	1,30,002
3	NON-CURRENT LIABILITIES			
	Long-Term Liabilities	2.03	7,12,10,102	8,45,46,140
	Other Long-Term Liabilities	2.04	21,60,97,455	24,76,42,476
	Sub-total		28,73,07,557	33,21,88,616
4	CURRENT LIABILITIES			
	Short-term borrowings	2.05	7,86,15,763	6,30,42,409
	Trade Payable	2.06	3,07,59,305	2,98,82,280
	Other Current Liabilities	2.07	5,99,83,237	5,84,85,568
	Short-term Provisions	2.08	86,70,000	89,25,399
	Sub-total		17,80,28,305	16,03,35,656
	TOTAL EQUITIES AND LIABILITIES		68,80,86,319	70,28,80,984
II.	<u>ASSETS:</u>			
1	NON-CURRENT ASSETS			
	Fixed assets			
	Tangible assets	2.09	44,12,27,455	45,62,63,677
	Goodwill		97,66,682	97,66,682
	Intangible assets	2.09	39,56,440	51,84,685
	Intangible Asset under Development - WIP	2.09	1,21,01,196	51,50,000
	Sub-total		46,70,51,773	47,63,65,044
	Deferred tax assets (net)		3,57,263	1,11,956
	Long term loans and advances	2.10	6,31,380	2,55,900
	Sub-total		9,88,643	3,67,856
2	CURRENT ASSETS			
	Current Investments	2.11	1,34,52,577	2,49,91,071
	Inventories	2.12	4,55,180	4,55,050
	Trade Receivables	2.13	12,17,58,914	10,93,22,087
	Cash and cash equivalents	2.14	67,62,014	24,77,614
	Short-term Loans and Advances	2.15	3,97,29,999	4,89,37,356
	Other Current Assets	2.16	3,78,87,219	3,99,64,906
	Sub-total		22,00,45,903	22,61,48,084
	TOTAL ASSETS		68,80,86,319	70,28,80,984
	Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements
As per our Report Attached of even date.


Ashish Shahu
Partner

Membership No. 150960
For and on behalf of
RKAS & Co
Chartered Accountants
FRN: 135727W

Nagpur, dated the
29th September 2022




DIRECTOR
A. N. Shende


DIRECTOR
S. P. Pande


COMPANY SECRETARY
A. V. Padhye

Virtual Galaxy Infotech Private Limited
Consolidated Profit and Loss for the year ended 31st March 2022

PARTICULARS	Note No.	(Fig in Rs.)	
		31st March 2022	31st March 2021
I. Revenue from operations	2.17	43,32,01,827	42,46,23,680
II. Other income	2.18	11,72,176	8,47,842
III. Total Revenue (I + II)		43,43,74,003	42,54,71,522
IV. LESS : EXPENDITURE			
Purchases of Materials		22,71,83,453	22,41,76,295
Changes in inventories of stock-in-trade	2.19	(130)	50,200
Employee benefit expenses	2.20	7,39,37,042	7,05,89,948
Finance costs	2.21	2,63,17,589	2,53,54,664
Depreciation and amortization expenses	2.90	4,86,14,053	3,80,64,355
Other Expenses	2.22	3,97,23,558	4,66,49,000
Total Expenses		41,57,75,565	40,48,84,462
V. Profit before exceptional and extraordinary items and tax		1,85,98,438	2,05,87,060
VI. Exceptional items		-	-
VII. Profit before extraordinary items and tax (V - VI)		1,85,98,438	2,05,87,060
VIII. Extraordinary items		-	-
IX. Profit before tax (VII - VIII)		1,85,98,438	2,05,87,060
X. Tax expense :			
a) Current tax expenses		86,70,000	84,96,000
b) Current tax relating to prior years (net)		-	-
c) Deferred tax charge/(credit)		(2,45,307)	(1,10,605)
Net tax expenses/(benefit)		84,24,693	83,85,395
XI. Profit / (Loss) for the period from continuing operations (IX-X)		1,01,73,745	1,22,01,665
XII. Profit / (loss) for the period (XI + XIV)		1,01,73,745	1,22,01,665
XIII. Earning per equity share :	2.23	0.92	1.11

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.

As per our Report Attached of even date.

Ashish Shahu

Partner

Membership No. 150960

For and on behalf of

RKAS & Co

Chartered Accountants

FRN: 135727W

Nagpur, dated the

29th September 2022



A. N. Shende

DIRECTOR

S. P. Pande

DIRECTOR

A. V. Padhye

COMPANY SECRETARY

VIRTUAL GALAXY INFOTECH PVT. LTD.
Consolidated Cashflow Statement as on 31st March 2022

S.No.	Particulars	Note No.	31st March 2022	31st March 2021
1	CASH FLOW FROM OPERATING ACTIVITIES: Net Profit Before Tax As Per Statement Of Profit And Loss Add/(Less): Depreciation, Amortisation And Impairment Interest Income Dividend Income		1,85,98,438 4,86,14,053 (9,39,566)	2,05,87,060 3,80,64,355 (6,83,003)
	Operating Profit Before Changes In Working Capital		6,62,72,925	5,79,68,412
	Changes In Working Capital (Increase)/Decrease In Trade Receivables (Increase)/Decrease In Inventories (Increase)/Decrease In Loans And Advances (Increase)/Decrease In Other Current Assets (Increase)/Decrease In Other Non-Current Assets Increase/(Decrease) In Trade Payables Increase/(Decrease) In Provisions Increase/ (Decrease) In Other Current Liabilities Increase/(Decrease) In Long Term Liabilities Increase/(Decrease) In Other Long Term Liabilities Increase/(Decrease) In Short Term Borrowings		(1,24,36,827) (130) 92,07,357 20,77,687 1,09,17,707 8,77,025 (2,55,399) 14,97,669 (1,33,36,038) (3,15,45,021) 1,55,73,354	6,03,23,051 50,200 (2,68,16,831) (14,89,267) (1,55,27,254) (1,58,88,167) (2,69,92,407) 3,11,16,643 6,33,69,405 (4,53,02,690) (1,78,64,918)
3	Cash Generated From Operations		4,88,50,309	6,29,46,177
	Taxes Paid		84,24,693	83,85,395
4	Net Cash From Operating Activities (A)		4,04,25,616	5,45,60,782
5	Cash Flow From Investing Activities Purchase Of Tangible & Intangible Fixed Assets Purchase Of Long Term Investments Sales Of Tangible Fixed Assets Sales Of Long-Term Investments Interest And Dividend Received		(3,93,00,782) - - - 9,39,566	(6,23,84,970) - - - 6,83,003
6	Net Cash From Investing Activities (B)		(3,83,61,216)	(6,17,01,967)
7	Cash Flows From Financing Activities Proceeds From Share Application Money Proceeds From Minority Interest		- 22,20,000	- -
8	Net Cash From Financing Activities (C)		22,20,000	-
9	Net Increase /Decrease In Cash And Cash Equivalents (A+ B+C) Opening Balance Of Cash And Cash Equivalents Closing Balance Of Cash And Cash Equivalents		42,84,400 24,77,614 67,62,014	(71,41,185) 96,18,799 24,77,614

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co
Chartered Accountants
FRN: 135727W



A. N. Shende
DIRECTOR

S. P. Pande
DIRECTOR
A. V. Padhye
COMPANY SECRETARY

Nagpur, dated the
29th September 2022

Note 2: Notes on accounts as per revised schedule VI**SHARE HOLDERS FUND**

The Company has only one class of shares, referred to as equity shares having a par value of Rs.10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL**A.**

PARTICULARS	31st March 2022	31st March 2021
AUTHORISED CAPITAL : 1,50,00,000 Equity Shares of Rs. 10/- each	15,00,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL : 11000160 Equity Shares of Rs. 10/- each fully paid	11,00,01,600	11,00,01,600
	11,00,01,600	11,00,01,600

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	% of Share holding	No. of share held	No. of share held
Avinash N. Shende	46.36%	51,00,000	51,00,000
Sachin P. Pande	46.36%	51,00,000	51,00,000

2.02 RESERVES AND SURPLUS

PARTICULARS	31st March 2022	31st March 2021
Retained Earnings		
Opening Balance	9,04,58,430	7,82,56,765
Add: Profit for the year	1,01,73,745	1,22,01,665
Less: Transfer to reserve, if any	-	-
Closing Balance	10,06,32,175	9,04,58,430
Total	10,06,32,175	9,04,58,430

2.03 LONG TERM LIABILITIES

PARTICULARS	31st March 2022	31st March 2021
Long-Term Borrowings :		
Term Loans From Banks	6,48,10,694	7,62,00,732
From Directors	63,99,408	83,45,408
Total	7,12,10,102	8,45,46,140

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st March 2022	31st March 2021
Unsecured Loan		
From NBFC	1,30,68,954	1,81,28,058
From Director	78,00,000	78,00,000
From Others	18,48,81,385	14,53,81,385
Creditors for Fixed Assets	1,03,47,116	7,63,33,033
Total	21,60,97,455	24,76,42,476



2.05 SHORT TERM BORROWINGS:

PARTICULARS	31st March 2022	31st March 2021
Working Capital Loans From Banks	7,86,15,763	6,30,42,409
Total	7,86,15,763	6,30,42,409

2.06 TRADE PAYABLES:

PARTICULARS	31st March 2022	31st March 2021
Trade payable		
Due to micro, small and medium enterprises	-	-
Due to others	3,07,59,305	2,98,82,280
Total	3,07,59,305	2,98,82,280

2.07 OTHER CURRENT LIABILITIES:

PARTICULARS	31st March 2022	31st March 2021
Statutory Dues Payable	2,18,17,192	1,49,93,155
Advance from Customer	1,29,23,511	2,39,36,660
Salary Payable	2,46,26,453	1,93,81,593
Rent Payable	1,32,259	1,06,319
Audit Fees Payable	30,000	35,000
Interest Payable	57,477	-
Others Payable	3,96,345	32,841
Total	5,99,83,237	5,84,85,568

2.08 SHORT TERM PROVISIONS:

PARTICULARS	31st March 2022	31st March 2021
Other Provision	-	4,08,171
Provision for Taxation	86,70,000	84,96,000
Provision for expense payable	-	21,228
Total	86,70,000	89,25,399

2.10 Long Term Loans and Advances

PARTICULARS	31st March 2022	31st March 2021
Unsecured, considered good		
Security Deposits - Office Security deposits	2,32,500	
Security Deposits - Rent Bangalore	37,500	37,500
Security Deposits - Rent Nagpur	1,80,000	1,80,000
Security Deposits - Vodaphone	900	900
Security Deposits - Office rent	1,80,480	37,500
Security Deposits	6,31,380	2,55,900
Total	6,31,380	2,55,900

2.11 CURRENT INVESTMENTS :

PARTICULARS	31st March 2022	31st March 2021
Deposits with Banks	1,34,52,577	2,49,91,071
Investment in SIP fund Shares	-	-
Total	1,34,52,577	2,49,91,071

2.12 INVENTORIES :

PARTICULARS	31st March 2022	31st March 2021
Stock-in-trade	4,55,180	4,55,050
Total	4,55,180	4,55,050



2.13 TRADE RECEIVABLES:

PARTICULARS	31st March 2022	31st March 2021
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured-considered good	1,60,55,000	90,74,140
Other trade receivables		
Unsecured-considered good	10,57,03,914	10,02,47,947
Total	12,17,58,914	10,93,22,087

2.14 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st March 2022	31st March 2021
Cash in Hand	19,659	18,203
With Banks in Current Accounts	67,42,355	24,59,411
Total	67,62,014	24,77,614

2.15 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st March 2022	31st March 2021
Salary & Tour Advance	87,05,035	1,01,46,476
Advance against Purchases	46,03,078	1,97,57,073
Loan & Advances to others	-	10,00,000
Loan & Advances to Related Parties	2,64,21,886	1,80,33,807
Total	3,97,29,999	4,89,37,356

2.16 OTHER CURRENT ASSETS:

PARTICULARS	31st March 2022	31st March 2021
Balance With Statutory Authorities	1,46,66,166	1,44,37,461
Security Deposits	2,32,21,053	2,55,27,445
Total	3,78,87,219	3,99,64,906



2.17 REVENUE FROM OPERATIONS:

PARTICULARS	31st March 2022	31st March 2021
Sales of Goods and Services	39,36,37,615	40,44,70,377
Export Revenue	3,91,27,352	2,01,53,119
Other Operating revenue	4,36,860	184
Total	43,32,01,827	42,46,23,680

2.18 OTHER INCOME :

PARTICULARS	31st March 2022	31st March 2021
Other Income	2,32,610	1,64,839
Interest Received	9,39,566	6,83,003
Total	11,72,176	8,47,842

2.19 CHANGES IN INVENTORIES OF STOCK IN TRADE:

PARTICULARS	31st March 2022	31st March 2021
Closing Stock at the end of the year	4,55,180	4,55,050
Less : Opening Stock at the beginning of the year	4,55,050	5,05,250
Total	(130)	50,200

2.20 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st March 2022	31st March 2021
Salaries,allowances and other benefits	7,01,44,687	6,73,72,094
Contribution to provident fund and other Fund	34,55,957	30,76,340
Staff Welfare Expenses	3,36,398	1,41,514
Total	7,39,37,042	7,05,89,948

2.21 FINANCE COSTS:

PARTICULARS	31st March 2022	31st March 2021
Interest on Bank Loans	2,60,67,527	2,53,45,294
- Bank Charges	2,50,062	9,370
Total	2,63,17,589	2,53,54,664



2.22 OTHER EXPENSES:

PARTICULARS	31st March 2022	31st March 2021
Advertisement	11,03,412	12,56,242
Audit Fees	90,000	65,000
Bank Transaction fees	46,11,604	15,50,000
Business Promotion Expenses	22,98,409	29,78,180
Commission	8,37,153	33,460
Contract Work Expenses	-	34,25,000
Conveyance	66,188	47,937
Courier Charges	2,21,321	4,73,083
Data entry Charges	3,00,000	5,87,000
Director Remuneration	24,00,000	92,00,000
Discount	8,70,161	8,61,315
Electricity Charges	22,53,352	25,32,808
Freight, Octroi & Cartage	-	22,993
Interest on Delayed Payment of TDS	2,618	65,716
IRDA License Fees	50,000	25,012
Late Fee Twds Delayed Payment of GST	-	16,820
Lease Line Charges	31,819	4,10,011
Legal & Professional Charges	38,94,935	21,94,590
Miscellaneous Expenses	4,31,250	3,37,508
Office Expenses	23,46,497	11,00,214
Other Expenses	26,96,796	19,15,914
Registration & Membership fees	10,000	6,35,400
Rent	19,76,364	10,53,480
Repairs & Maintenance	18,13,443	16,60,544
Security Charges	2,15,200	2,93,200
Site Development expenses	18,98,168	42,36,051
Stationery & Printing	96,989	1,13,883
Technical charges paid	1,71,666	6,05,000
Telephone & Internet charges	26,38,108	21,08,728
Tender Fees	1,99,667	6,83,876
Transportation Expenses	5,09,300	
Travelling & Tour Expenses	56,32,628	60,50,800
Water Charges	51,002	28,685
Web site Developement	5,508	80,550
Total	3,97,23,558	4,66,49,000

2.23 EARNING PER SHARE:

PARTICULARS	31st March 2022	31st March 2021
Net profit after tax	1,01,73,745	1,22,01,665
Number of Equity Share issued	1,10,00,160	1,10,00,160
Basic earnings per share of Rs.10/- each	0.92	1.11



2.24 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees.

2.25 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 06.

2.26 PAYMENT TO AUDITORS

PARTICULARS	31st March 2022	31st March 2021
Statutory Audit	90,000	65,000
Total	90,000	65,000

2.27 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc.

Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

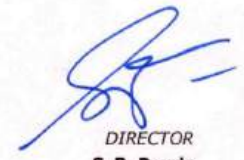
2.28 PREVIOUS YEARS FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.


Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co
Chartered Accountants
FRN: 135727W




DIRECTOR
A. N. Shende


DIRECTOR
S. P. Pande

COMPANY SECRETARY
A. V. Padhye

Nagpur, dated the
29th September 2022

NOTE 2.09 - PROPERTY PLANT AND EQUIPMENTS

Tangible Assets

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2021	Additions for the year	Deductions during the year	As on 31st March 2022	As on 1st April 2021	Additions for the year	As on 31st March 2022	As on 31st March 2021
Property Plant And Equipments								
Land	-	-	-	-	-	-	-	-
Land and Buildings	65,92,06,848	8,56,29,284	5,32,79,698	69,15,56,434	20,45,25,500	4,73,15,690	43,97,15,244	45,46,81,348
Machinery	-	-	-	-	-	-	-	-
Motor Vehicles	-	-	-	-	-	-	-	-
Furniture and Fixtures	31,97,697	-	-	31,97,697	29,01,462	49,724	2,46,511	2,96,235
Office Equipments	37,14,455	-	-	37,14,455	24,28,361	20,394	12,65,700	12,86,094
Capital Work In-Progress	-	-	-	-	-	-	-	-
TOTAL	66,61,19,000	8,56,29,284	5,32,79,698	69,84,68,586	20,98,55,323	4,73,85,808	44,12,27,455	45,62,63,677

Intangible Assets

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2021	Additions for the year	Deductions during the year	As on 31st March 2022	As on 1st April 2021	Additions for the year	As on 31st March 2022	As on 31st March 2021
Banking & ERP Software	85,28,461	-	-	85,28,461	33,43,776	12,28,245	39,56,440	51,84,685
TOTAL	85,28,461	-	-	85,28,461	33,43,776	12,28,245	39,56,440	51,84,685

Intangible Assets Under Development

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2021	Additions for the year	Deductions during the year	As on 31st March 2022	As on 1st April 2021	Additions for the year	As on 31st March 2022	As on 31st March 2021
Software Under Development	51,50,000	69,51,196	-	1,21,01,196	-	-	1,21,01,196	51,50,000
TOTAL	51,50,000	69,51,196	-	1,21,01,196	-	-	1,21,01,196	51,50,000
TOTAL	67,97,97,461	9,25,80,480	5,32,79,698	71,90,98,243	21,31,99,099	4,86,14,053	45,72,85,091	46,65,98,362



Note 1

Notes forming part of consolidated financial statements for the year ended March 31st, 2022

COMPANY INFORMATION

Holding Company

M/s. Virtual Galaxy Infotech Private Limited

Subsidiary Company

M/s. SIP Fund Private Limited

M/s. Virtual Galaxy Insurance Brokers Private Limited

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These Consolidated financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting polices have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Presentation of financial statements

The Balance sheet and the statement of Profit and loss are prepared in the format prescribed in the Schedule III of the Companies Act 2013. The Cash Flow statement has been prepared and presented as per the requirements of Accounting Standard (AS) 3 " Cash Flow Statements". The disclosure requirements with respect to items in the Balance Sheet and Statement of Profit and Loss, as prescribed in the Schedule III to the Act, are presented by way of notes forming part of accounts along with the other notes required by the notified Accounting Standards.



Use of Estimates

The preparation of the Consolidated financial statements in conformity with Indian GAAP requires the Management to make estimates and assumptions considered in the reported amounts of assets and liabilities (including contingent liabilities) and the reported income and expenses during the year.

The Management believes that these estimates are prudent, reasonable and are based upon the Management's best knowledge of current events and actions. Actual results could differ from these estimates and differences between actual results and estimates are recognised in the periods in which the results are known or materialised.

Estimates and underlying assumptions are reviewed on a ongoing basis. Revisions to accounting estimates are recognised in and from the period in which the estimate gets revised.

This note provides an overview of the areas that involve a higher degree of judgement or complexity and of items which are more likely to be materially adjusted due to estimates and assumptions turning out to be different than those originally assessed.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. Revenue recognition

- (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
- (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
- (c) Dividend income is accounted for in the year in which the right to receive the same is established.
- (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. Fixed Assets

Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition.



All such direct costs are capitalized when the tangible assets are ready for use. Management has capitalized the cost of software development incurred on V-Pay. In fixed Asset it is shown under software development of V-Pay.

3. Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

4. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act, 2013 as under:

- (i) All assets on written down value basis.
- (ii) Management has not charged the depreciation to the Software Development called V – Pay, since it is in developing stage.

5. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

6. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

7. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower.



Earnings per Share

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year

8. Taxes on Income

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognised for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealised deferred tax assets, to the extent they become reasonably certain or virtually certain of realisation, as the case may be.

9. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

10. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.



